

COMMITTEE ON LEGISLATIVE RESEARCH
OVERSIGHT DIVISION

FISCAL NOTE

L.R. No.: 6510S.01I
Bill No.: SB 1517
Subject: Counties; Political Subdivisions; Taxation and Revenue - Property
Type: Original
Date: February 10, 2026

Bill Summary: This proposal modifies provisions relating to property taxes.

FISCAL SUMMARY

ESTIMATED NET EFFECT ON GENERAL REVENUE FUND

FUND AFFECTED	FY 2027	FY 2028	FY 2029
General Revenue**	Unknown to (Could exceed \$146,286)*	(\$29,989)	(\$30,739)
Total Estimated Net Effect on General Revenue	More or less than (\$146,286)	(\$29,989)	(\$30,739)

**Oversight notes §163.021 will require DESE/OA-ITSD to make changes/modifications to the existing Foundation Formal (School Finance) application/code.

*Oversight notes there will be unknown costs to GR and unknown savings to GR from shifting elections to November. Oversight cannot estimate the net effect on General Revenue with the information available. The unknown savings to unknown cost could exceed the \$250,000 threshold.

ESTIMATED NET EFFECT ON OTHER STATE FUNDS

FUND AFFECTED	FY 2027	FY 2028	FY 2029
Total Estimated Net Effect on <u>Other</u> State Funds			

Numbers within parentheses: () indicate costs or losses.

ESTIMATED NET EFFECT ON FEDERAL FUNDS

FUND AFFECTED	FY 2027	FY 2028	FY 2029
Total Estimated Net Effect on <u>All</u> Federal Funds	\$0	\$0	\$0

ESTIMATED NET EFFECT ON FULL TIME EQUIVALENT (FTE)

FUND AFFECTED	FY 2027	FY 2028	FY 2029
Total Estimated Net Effect on FTE	0	0	0

- ☒ Estimated Net Effect (expenditures or reduced revenues) expected to exceed \$250,000 in any of the three fiscal years after implementation of the act or at full implementation of the act.
- ☒ Estimated Net Effect (savings or increased revenues) expected to exceed \$250,000 in any of the three fiscal years after implementation of the act or at full implementation of the act.

ESTIMATED NET EFFECT ON LOCAL FUNDS

FUND AFFECTED	FY 2027	FY 2028	FY 2029
Local Government*	\$0	(Unknown)	(Unknown)

FISCAL ANALYSIS

ASSUMPTION

§67.457 - Neighborhood Improvement Districts

In response to similar legislation, HB 2668 (2026), officials from the **Department of Revenue (DOR)** noted this proposal repeals the duplicated language regarding neighborhood improvement districts. This will not fiscally impact DOR.

Oversight does not have any information to the contrary. Officials from the DOR assume the provision will have no fiscal impact on their organization. Therefore, Oversight will reflect a zero impact in the fiscal note for this agency.

§67.496 - “Not Increasing Taxes” Language Prohibited

In response to similar legislation, HB 2780 (2026), officials from the **Department of Revenue (DOR)** noted this provision restricts how increases to the tax rate can be described on the ballot. This will not fiscally impact DOR.

Oversight assumes this provision prohibits any political subdivision or election authority from advertising or describing any proposed property tax as a “no tax increase” tax proposal.

Oversight does not anticipate a fiscal impact from this provision. However, Oversight received a limited number of responses from local political subdivisions related to the fiscal impact of this proposal. Oversight has presented this fiscal note on the best information available. Upon the receipt of additional responses, Oversight will review to determine if an updated fiscal note should be prepared and seek approval to publish a new fiscal note.

§115.240 – Ballot Labeling

Oversight assumes this provision requires an election authority to label tax ballot measures numerically or alphabetically in the order in which they are submitted

Oversight does not anticipate a fiscal impact from this provision. However, Oversight received a limited number of responses from local political subdivisions related to the fiscal impact of this proposal. Oversight has presented this fiscal note on the best information available. Upon the receipt of additional responses, Oversight will review to determine if an updated fiscal note should be prepared and seek approval to publish a new fiscal note.

§§115.706 & Multiple Other Sections – Property Tax Election Dates

In response to similar legislation, HB 2780 (2026), officials from the **Department of Social Services (DSS)** noted the proposed legislation in these sections amends provisions relating to

election days, tax rates and levies set by local taxing authorities. These provisions do not change the manner in which property is assessed. Therefore, there is no fiscal impact to the Blind Pension Fund.

Officials from the **Platte County Board of Elections** note requiring local tax questions to be posed only at general elections will produce two page general election ballots. Increased printing costs will be about \$20,000 per election.

Officials from the **St. Louis County Board of Elections** assume this would substantially increase the length of the ballot for a General Election. Depending on the length of that increase, the county estimates a cost increase of anywhere from \$100,000 to \$250,000 per election. This is due to increased costs of printing, postage and additional election workers

In response to similar legislation, HB 2780 (2026), officials from the **Department of Revenue (DOR)** noted this proposal changes the local election date for tax issues to only being held at a general election rather than a primary or special election. These changes will not fiscally impact DOR.

Officials from the **Office of the Secretary of State (SOS)** note this bill would move municipal elections from April to the November general election beginning in 2027 (FY28). This may lead to significantly increased election costs due to greater numbers of ballot styles, though it is unknown whether the state's proportional costs will increase or decrease since the overall cost increase will be offset by a lower share of responsibility.

It is anticipated that there may be necessary coding updates that will need to be made to the Missouri Centralized Voter Registration System (MCVR) to accommodate this statutory change. The SOS expects that these updates can be accomplished under the existing regular maintenance contract but reserves the right to request funding if additional resources are required beyond the standing release schedule.

Oversight notes any election in any political subdivision of this state for a tax, bond, or levy shall be held on the general election day. As a result, the state's proportional share is expected to decrease in multiple jurisdictions, yet the overall cost of the election may increase. Therefore, Oversight will reflect a potential unknown savings to an unknown cost in FY27 on the fiscal note.

Oversight notes due to the proposal shifting the taxing issues to November, there is a potential for savings in elections costs but is unable to quantify how much. Oversight will show an unknown savings to local election authorities on the fiscal note.

Oversight notes the cost of the November taxing ballot issues could increase in part due to an increase in the number of ballot issues and ballot pages. Oversight will show a potential unknown cost beginning in FY 2027 on the fiscal note.

Oversight assumes some local political subdivisions may face increased costs beginning in the April 2027 election (FY 2028) as less entities share in the proportional cost. Oversight will show a potential unknown cost to local political subdivisions beginning in FY 2028 and recurring bi-annually for each year thereafter.

Beginning in November of 2026 (FY 2027), Oversight assumes some local political subdivisions may see proportional cost savings as more entities would now share in the cost of the tax issues. Oversight will show a potential unknown savings to general revenue and local political subdivisions beginning in FY 2027.

§137.039 – Tax Abatements

In response to similar legislation, HB 2780 (2026), officials from the **State Tax Commission (STC)** noted this provision will have an unknown negative impact for taxing jurisdictions relying on property taxes as a source of revenue.

Currently, a taxing jurisdiction can shift part of the tax burden to other property owners outside of the tax abatement to mitigate revenue losses under the Hancock Amendment. This provision would require the taxing jurisdiction to reduce the levy and hold these property owners harmless when abatements are used.

Officials from the **County Employees' Retirement Fund (CERF)** note there is insufficient data to quantify Section 137.039's exact impact. This section may have a negative fiscal impact to CERF. A certain portion of the moneys that are used to fund CERF are tied to the collection of property taxes. CERF notes that the amount of these revenues fluctuates from year to year. CERF notes that there is insufficient information to quantify the exact impact but CERF assumes that the impact would be negative.

Oversight assumes this proposal requires political subdivisions to decrease the real property tax levy to reduce the amount of tax revenue such political subdivision received from the additional tax abatement revenue.

Oversight is uncertain how many taxing entities who receive tax abatement or similar incentives would need to reduce their levy under this proposal. Therefore, Oversight will show an unknown negative impact to local political subdivisions for the loss in real property tax revenue.

§137.055 –New Construction and Improvements & Public Hearing Notices

Officials from the **County Employees' Retirement Fund (CERF)** assume this provision may have an unknown, possibly negative, fiscal impact. A certain portion of the moneys that are used to fund CERF are tied to the collection of property taxes. CERF notes that the amount of these revenues fluctuates from year to year.

Oversight assumes this provision states hearing notices for setting property tax rates no longer need to include the increase in tax revenue realized due to an increase in assessed value as a result of new construction and improvements.

Oversight does not anticipate a fiscal impact from this provision. However, Oversight received a limited number of responses from local political subdivisions related to the fiscal impact of this proposal. Oversight has presented this fiscal note on the best information available. Upon the receipt of additional responses, Oversight will review to determine if an updated fiscal note should be prepared and seek approval to publish a new fiscal note.

§137.065 – Assessment Procedures and Classification of Improvements

Oversight assumes these sections modify how improvements on agricultural, horticultural, residential, and commercial property are classified, documented, and reported for assessment purposes. Oversight assumes the impact on assessed valuation is unknown and could be positive or negative depending on how improvements qualify under the proposal and how they are classified between property subclasses.

Oversight assumes local taxing entities may incur additional administrative costs to comply with this provision.

§137.073 - New Construction and Improvements & Tax-Rate-Setting

Officials from the **County Employees' Retirement Fund (CERF)** assume this provision may have an unknown, possibly negative, fiscal impact. A certain portion of the moneys that are used to fund CERF are tied to the collection of property taxes. CERF notes that the amount of these revenues fluctuates from year to year.

Officials from the **St Louis City Assessor** assume the elimination of the exclusion of new construction from the rollback provision will affect taxing jurisdictions; including new construction will cause rollbacks to be somewhat greater and will diminish the amount of funds the districts receive. It will also cause the Collector of Revenue and Assessment funds to take in somewhat less.

Oversight assumes this provision states new construction and improvements will no longer be excluded from the aggregate assessed valuation calculation, as it relates to the Hancock Amendment, setting real property tax levies, and inflationary assessment growth.

Oversight notes property tax revenues are generally designed to be revenue neutral from year to year. The tax levy is adjusted relative to the assessed value to produce roughly the same revenue from the prior year with an allowance for growth.

Oversight notes no longer omitting new construction and improvements from the aggregate assessed value in the rate setting calculation would result in a higher adjusted assessed value

relative to the authorized revenues in the rate setting calculation. This would reduce the tax rate applied to total assessed values thereby reducing revenues for all tax entities.

Oversight assumes this proposal could reduce allowable revenue growth for local taxing entities over time.

Oversight notes the Blind Pension Fund (0621) is calculated as an annual tax of three cents on each one hundred dollars valuation of taxable property $((\text{Total Assessed Value}/100) \times .03)$. Because this proposal alters only components of the rate setting calculation, it does not limit the assessed value portion of this equation, therefore the Blind Pension Fund will not be impacted by this proposal.

§137.073 – Temporary vs. Permanent Levy

Oversight assumes this provision specifies that, if the voters in a political subdivision approve a temporary levy increase prior to the expiration of a previously approved temporary levy increase, the new tax rate ceiling will remain in effect only until the temporary levy increase expires under the terms originally approved by a vote of the people. At that time, the tax rate ceiling will be decreased by the amount of the temporary levy increase unless voters of the political subdivision are asked to approve an additional permanent increase and such increase is approved.

Oversight does not anticipate a fiscal impact from this proposal. Therefore, Oversight will reflect a zero impact in the fiscal note.

§137.073 - Voter-Approved Increased Tax Rate Ceiling

Oversight assumes this provision clarifies the treatment of voter-approved increases to property tax rate ceilings. Oversight assumes this provision does not mandate a tax increase; it only governs the treatment of rates already approved by voters. Therefore, Oversight does not anticipate a fiscal impact from this proposal. Therefore, Oversight will reflect a zero impact in the fiscal note.

§137.082 - Rollback Adjustments

Officials from the **County Employees' Retirement Fund (CERF)** assume these provisions may have an unknown, possibly negative, fiscal impact. A certain portion of the moneys that are used to fund CERF are tied to the collection of property taxes. CERF notes that the amount of these revenues fluctuates from year to year.

Oversight assumes this provision limits how much revenue local taxing entities may collect following increases in assessed valuation.

Oversight assumes this proposal may potentially limit future revenue growth and the actual fiscal impact is dependent on future assessed valuation increases. Therefore, Oversight will show an unknown loss in revenue to local political subdivisions beginning in FY 2028.

§137.115 - Mandatory Physical Inspections

In response to similar legislation, HB 2780 (2026), officials from the **Boone County Assessor** assumed the following costs for additional staff as a result of this provision:

Estimated Local Fiscal Impact	FY 2027	FY 2028	FY 2029
137.115(10) - 15% on Subclass # Additional Staff	\$300,000	\$320,000	\$350,000

Officials from the **St Louis City Assessor** assume adding the requirement for 15% inspections for Commercial property will require more manpower and administrative costs for processing, mailing, etc.

Oversight assumes this provision states before any assessor may increase the assessed valuation of any parcel of utility, industrial, commercial, railroad, or other real property by more than 15% since the last assessment, the assessor must conduct a physical inspection of the property.

Oversight assumes local taxing entities may incur additional administrative costs to comply with this provision. Therefore, Oversight will show an unknown cost to local political subdivisions beginning in FY 2027.

§137.1050 & 137.1055 - SB190 Senior Tax Credit Clarification

In response to similar legislation, HB 2780 (2026), officials from the **Department of Social Services (DSS)** noted §137.1050 has been revised to require counties to implement a property tax credit when they have the authority to do so. The provisions also apply the tax credit to all property levies, clarify definitions, and introduce new requirements for tax statements.

Blind Pension (BP) is funded from 0.03% (3 cents) of each \$100 assessed valuation of taxable property. Providing a real property tax credit to eligible owner as defined above will affect the growth of the BP fund but will not decrease the current amount collected in the fund. Therefore, there is no fiscal impact to the BP fund for section 137.1050.

Officials from the **St. Louis City Assessor** assume requiring all political subdivisions to be included in the Senior Tax Freeze Credit in non-reassessment years will reduce collections to all districts by approximately \$300,000 to \$500,000. In reassessment years, reductions to all districts are estimated at \$2,500,000 to \$3,000,000. Collector of Revenue and Assessment funds will be reduced also.

Officials from the **County Employees' Retirement Fund (CERF)** note that there is insufficient information to quantify the exact impact but CERF assumes that the impact would be negative.

Oversight will show an unknown, negative fiscal impact to local political subdivisions from this provision.

Oversight notes current law lets certain counties increase real property tax liability by the *greater* of 5%, or inflation. Oversight notes this proposal changes that to the *lesser* of 5% or inflation.

Oversight assumes this will have an unknown negative fiscal impact to counties that currently rely on the “greater of” formula (because they will now be capped at the lower of the two numbers)

§139.035 - Totaled Motor Vehicle Property Tax Proration Program

Officials from the **Office of Administration - Budget and Planning (B&P)** note this proposal would allow counties and St. Louis City to offer a tax credit offsetting a portion of personal property tax owed if a motor vehicle is totaled during the tax year. The proration program would not apply to vehicles retained and driven under a salvage title.

B&P notes that a county assessor handles property taxes assessments and billings. However, within that county may be multiple different property tax levy districts with multiple different boundaries. It is unclear whether this proposal would impact sub-county level districts if the proration program was approved at the county level.

In addition, the Blind Pension Trust Fund levies a tax of \$0.03 per \$100 on all property in Missouri. It is unclear whether the property tax credit would also be applied to the statewide levy. Therefore, this proposal may reduce TSR and revenues to the Blind Pension Fund by an unknown amount.

In response to similar legislation, HB 708 (2025), officials from the **City of Kansas City** assumed the proposed legislation has a potentially negative fiscal impact of an indeterminate amount.

Officials from the **St Louis City Assessor** assume this provision creates a “Totaled motor vehicle personal property tax proration program”. Assuming the City of St. Louis would opt-in to establish such program, there would be additional administrative costs; it is estimated there would be hundreds but probably not thousands of taxpayers who may qualify in any given year.

In response to similar legislation, HB 708 (2025), officials from the **Callaway County SB 40 Board** assumed the proposed legislation has a fiscal impact of an indeterminate amount.

In response to similar legislation, HB 708 (2025), officials from the **Lawrence County SB 40 Board**, considered a political subdivision, utilizes a portion of the property taxes collected each year to provide services and opportunities for individuals with Intellectual Disabilities and Developmental Disabilities within Lawrence County. The money is used for grants, funding (with other entities) of the local Sheltered Workshop, Transportation assistance through OATS

transportation, a community center for this population, handicap accessible playground equipment in some city parks, etc. Any reduction in property taxes takes away funds that can help one of the most vulnerable populations, the intellectually and developmentally disabled.

Officials from the **County Employees' Retirement Fund (CERF)** assume this section may result in reductions in contribution revenue to CERF of an unknown amount annually. A certain portion of the moneys that are used to fund the County Employees' Retirement Fund are tied to the collection of property taxes. Data is not available to quantify how taxing entities' adoption of a totaled motor vehicle personal property tax proration program would impact contribution revenue but CERF assumes there may be a negative impact.

In response to similar legislation, HCS for HB 708 (2025), officials from the **Department of Social Services, Branson Police Department, Kansas City Police Department, Newton County Health Department,** and the **State Tax Commission** each assumed the proposal will have no fiscal impact on their respective organizations. **Oversight** does not have any information to the contrary. Therefore, Oversight will reflect a zero impact in the fiscal note for these agencies.

In response to similar legislation, HB 708 (2025), officials from the **Mid-Continent Public Library** and the **St Louis County Police Department** each assumed the proposal will have no fiscal impact on their respective organizations. **Oversight** does not have any information to the contrary. Therefore, Oversight will reflect a zero impact in the fiscal note for these agencies.

Oversight notes the Blind Pension Fund (0621) is calculated as an annual tax of three cents on each one hundred dollars valuation of taxable property ($(\text{Total Assessed Value}/100) \times .03$). Because this proposal does not appear to impact the assessed value portion of this equation, Oversight assumes the Blind Pension Fund will not be impacted under this proposal. If this assumption is incorrect, this would alter the fiscal impact as presented in this fiscal note.

Oversight notes under current law, a vehicle is considered a total loss if damage exceeds 80% of the fair market value.

Oversight notes according to [LexisNexis Risk Solutions' latest Auto Insurance Trends report](#), 27% of collision claims were total losses for 2022.

Oversight notes the proposed personal property tax proration program is optional, therefore Oversight assumes local taxing entities that choose to implement the proposed personal property tax credit would have a negative fiscal impact. Oversight is unable to determine which local taxing entities will participate and subsequently how much personal property tax would be credited back to taxpayers.

Therefore, Oversight will show a range of \$0 (no local taxing entities implement the proposed program) to an unknown negative amount.

Oversight received a limited number of responses from local political subdivisions related to the fiscal impact of this proposal. Oversight has presented this fiscal note on the best current information available. Upon the receipt of additional responses, Oversight will review to determine if an updated fiscal note should be prepared and seek the necessary approval to publish a new fiscal note.

§139.053 – Payment Options of Property Taxes for Township Counties

Oversight notes current law authorizes counties to provide for the payment of real and personal property taxes in installments but excludes township counties from utilizing such payment plans. This act repeals such prohibition for township counties. Oversight assumes this legislation allows townships the option to pass an order or ordinance to allow taxpayers the option to pay any part of their real and personal property taxes on an annual, semiannual, or quarterly basis. Oversight assumes no fiscal impact from this proposal.

Oversight only reflects the responses that we have received from state agencies and political subdivisions; however, other counties, county collectors and county treasurers were requested to respond to this proposed legislation but did not. Upon the receipt of additional responses, Oversight will review to determine if an updated fiscal note should be prepared and seek the necessary approval to publish a new fiscal note. A general listing of political subdivisions included in our database is available upon request.

§163.021 – Operating Levy Floor

In response to similar legislation, HB 2780 (2026), officials from the **Department of Elementary and Secondary Education (DESE)** noted this bill has the potential for a minor impact to the Foundation Formula (School Finance) application/calculations. DESE is unsure if these modifications would be able to be handled appropriately by the current/existing application in place today. DESE assumes the Foundation Formula (School Finance) is where these changes would be needed in order to provide proper funding per provisions for the proposal. DESE is a consolidated agency under OA-ITSD. It is assumed that all new IT projects/systems will be bid out because all ITSD resources are at full capacity. DESE also assumed these changes/modifications are able to be programmed into the existing Foundation Formula (School Finance) application/code. DESE notes OA-ITSD services will be required at a cost of \$146,286 in FY 2027 (1,393.20 hours x \$105 per hour), \$29,989 in FY 2028, and \$30,739 in FY 2029.

No additional impact on DESE as the foundation formula is based on a performance levy of \$3.43 (see attached <https://dese.mo.gov/media/pdf/missouri-school-funding-formula>). The performance levy is set and does not change no matter the local property taxes of a district. Because of this, the proposed legislation will not have an impact on DESE outside of some modifications to the Foundation Formula application. However, this could have significant impact on LEAs.

Oversight does not have any information to the contrary. Therefore, Oversight will reflect the impact as estimated by DESE in the fiscal note for their agency.

Officials from the **Office of Administration - Budget and Planning (B&P)** note this provision would lower the required school district property tax rate threshold from \$2.75 to \$1.50 required to receive additional state education funding. B&P is unable to determine how many school districts would now qualify for additional state aid. This provision could increase costs to GR starting FY27.

In response to similar legislation, HB 2780 (2026), officials from the **Department of Revenue (DOR)** noted this provision changes one of the calculations used determining what portion of the state adequacy target school districts would receive. This will not impact DOR.

Oversight does not have any information to the contrary. Therefore, Oversight will reflect a zero impact in the fiscal note for this agency.

§209.130 - State Property Tax for Blind Pension Fund

Oversight notes currently the Blind Pension Fund (0621) is calculated as an annual tax of three cents on each one hundred dollars valuation of taxable property ((Total Assessed Value/100)*.03).

This provision states upon the adoption of a constitutional amendment, the annual state property tax must be eliminated, and the General Assembly must begin appropriating money for the pensioning of the blind each year.

Oversight assumes the loss of tax revenue to the Blind Pension Fund and appropriation costs to general revenue will not be implemented until the adoption of a corresponding constitutional amendment is passed to eliminate this tax.

Officials from the **County Employees' Retirement Fund (CERF)** note this section would likely have a negative fiscal impact to CERF.

In response to similar legislation, HB 2780 (2026), officials from the **Department of Revenue (DOR)** noted this provision would stop the collection of funds for the Blind Pension Fund, should a constitutional amendment pass making the fund appropriated rather than based on property tax collection. DSS is the administrator of that fund. DOR defers to DSS for fiscal impact.

Officials from the **Office of Administration - Budget and Planning (B&P)** note under this proposal, the \$0.03 per \$100 value statewide property tax levy for the Blind Pension Trust Fund would expire following the adoption of a constitutional amendment moving the funding from property tax to appropriation. B&P notes that the costs this change would occur under the

constitutional amendment and not this provision. However, the Blind Pension Trust Fund property tax levy generated \$41,619,745 in revenue during FY25.

Responses regarding the proposed legislation as a whole

Officials from the **State Tax Commission** have reviewed this proposal and determined it may have a negative fiscal impact on local taxing jurisdictions like school, fire, and ambulance districts reliant on property taxes as a source of revenue. Currently, statute mandates that a vehicle is taxed according to its location as of January 1 of the year. Any vehicle sold or purchased after that date is subject to tax the next year. The proposal prorates the taxes owed based on when the vehicle is totaled. This will result in a loss of revenue.

Officials from the **Office of Administration - Budget and Planning (B&P)** note the following changes are made in multiple sections of the bill:

- Property elections may only occur during the November elections.
- Assessors must now include new construction and improvements within the revenue growth calculation. B&P notes that this could have a significant negative impact on areas experiencing strong growth or gentrification.

These provisions are not expected to impact revenues to the Blind Pension Trust Fund.

Officials from the **City of Kansas City** assume the proposed legislation has a negative fiscal impact of an indeterminate amount.

Officials from the **Eastern Clay Ambulance District** assume a fiscal impact but did not provide any additional information.

Officials from the **Republic R-III School District** assume the impact would equate to a loss of more than \$1.6 million. This would require cuts to teaching staff, larger class sizes, and a considerable reduction to programming.

Officials from the **Adair County SB 40 Board** assume a reduction in funding from personal and/or real property taxes would have a direct and significant impact on the essential supports provided by the Adair County SB40 Developmental Disability Board. SB40 funding enables the board's local system to assess community needs and sustain a coordinated network of services that currently support approximately 465 individuals with intellectual and developmental disabilities and their families across Adair County.

Officials from **Boone County SB 40 (Boone County Family Resources)** assume a reduction in funding from personal property and real property taxes would have profound consequences for individuals with intellectual and developmental disabilities (IDD), limiting access to the essential supports they depend on. County Boards—also known as Senate Bill 40 organizations—such as Boone County Family Resources (BCFR) play a vital role in assessing local needs and

cultivating a strong network of high-quality services for more than 2,400 Boone County residents with developmental disabilities and their families.

In Boone County alone, BCFR receives approximately \$4.5 million annually from personal property taxes, representing 28% of the board's operating budget. Eliminating this revenue source would immediately and substantially reduce the funding available for critical services, creating a significant negative impact on Boone Countians with developmental disabilities.

Officials from the **Callaway County SB 40 Board** assume Senate Bill 1517 makes broad changes to Missouri property tax law, including authorizing personal property tax proration credits for totaled vehicles, limiting taxation of replacement vehicles within the same tax year, and maintaining constraints on levy growth tied to inflationary factors. While intended to modernize tax administration and provide targeted taxpayer relief, these provisions may reduce personal property tax collections and restrict revenue growth for local taxing authorities.

Callaway County Special Services (CCSS), a Senate Bill 40 organization, relies on property tax levy revenue to fund essential community-based services for individuals with intellectual and developmental disabilities (IDD) and their families. Reductions in personal property tax collections or limitations on allowable levy growth would proportionally reduce funding available to support these services.

Officials from the **Department of Social Services, St. Louis City Board of Elections, Newton County Health Department, Phelps County Sheriff, Branson Police Department, Kansas City Police Department, St. Louis County Police Department**, and the **Office of the State Auditor** each assume the proposal will have no fiscal impact on their respective organizations. **Oversight** does not have any information to the contrary. Therefore, Oversight will reflect a zero impact in the fiscal note for these agencies.

Oversight only reflects the responses that we have received from state agencies and political subdivisions; however, other local political subdivisions were requested to respond to this proposed legislation but did not. Upon the receipt of additional responses, Oversight will review to determine if an updated fiscal note should be prepared and seek the necessary approval to publish a new fiscal note. A general listing of political subdivisions included in our database is available upon request.

Rule Promulgation

Officials from the **Joint Committee on Administrative Rules** assume this proposal is not anticipated to cause a fiscal impact beyond its current appropriation.

Officials from the **Office of the Secretary of State (SOS)** note many bills considered by the General Assembly include provisions allowing or requiring agencies to submit rules and regulations to implement the act. The SOS is provided with core funding to handle a certain amount of normal activity resulting from each year's legislative session. The fiscal impact for

this fiscal note to the SOS for Administrative Rules is less than \$5,000. The SOS recognizes that this is a small amount and does not expect that additional funding would be required to meet these costs. However, the SOS also recognizes that many such bills may be passed by the General Assembly in a given year and that collectively the costs may be in excess of what the office can sustain with its core budget. Therefore, the SOS reserves the right to request funding for the cost of supporting administrative rules requirements should the need arise based on a review of the finally approved bills signed by the governor.

<u>FISCAL IMPACT – State Government</u>	FY 2027 (10 Mo.)	FY 2028	FY 2029
GENERAL REVENUE			
<u>Savings</u> - (Various Sections) Shifting elections to November p. 4	Unknown	\$0	\$0
<u>Cost</u> - (Various Sections) Increased cost for November ballot issues p. 4	(Unknown)	\$0	\$0
<u>Cost</u> – DESE/ITSD (§163.021) Programming changes to foundation formula p. 11	(\$146,286)	(\$29,989)	(\$30,739)
ESTIMATED NET EFFECT ON GENERAL REVENUE	Unknown to (Could exceed \$146,286)	(\$29,989)	(\$30,739)

<u>FISCAL IMPACT – Local Government</u>	FY 2027 (10 Mo.)	FY 2028	FY 2029
LOCAL POLITICAL SUBDIVISIONS			
<u>Revenue Loss</u> – (§137.039) Levy decrease for localities utilizing tax abatement p.5	\$0	(Unknown)	(Unknown)
<u>Revenue Loss</u> - (§137.073) New construction and improvements no longer omitted from adjusted assessed value calculation p.7	\$0	(Unknown)	(Unknown)

<u>FISCAL IMPACT – Local Government</u>	FY 2027 (10 Mo.)	FY 2028	FY 2029
<u>Cost – Counties (§137.073, 137.065, 137.082) To administer the changes to rate calculation/assessment from this proposal p.6-7</u>	\$0	(Unknown)	(Unknown)
<u>Revenue Loss – (§137.082) Rollback adjustments p.8</u>	\$0	(Unknown)	(Unknown)
<u>Cost – Counties (§137.115) Mandatory physical inspections p.8</u>	\$0	(Unknown)	(Unknown)
<u>Revenue Loss (§§137.1050 & 137.1055) SB190 Senior Tax Credit changes p.9</u>	\$0	(Unknown)	(Unknown)
<u>Revenue Loss – (§139.035) Totaled motor vehicle property tax proration program, if county chooses to implement program p.10</u>	\$0	\$0 or (Unknown)	\$0 or (Unknown)
ESTIMATED NET EFFECT ON LOCAL POLITICAL SUBDIVISIONS	<u>\$0</u>	<u>(Unknown)</u>	<u>(Unknown)</u>

FISCAL IMPACT – Small Business

No direct fiscal impact on small businesses would be expected as a result of this proposal.

FISCAL DESCRIPTION

This act modifies provisions relating to property taxes.

This legislation is not federally mandated, would not duplicate any other program and would not require additional capital improvements or rental space.

SOURCES OF INFORMATION

Office of Administration - Budget and Planning
 Department of Social Services

Office of the Secretary of State
Joint Committee on Administrative Rules
State Tax Commission
City of Kansas City
Platte County Board of Elections
St. Louis County Board of Elections
St. Louis City Board of Elections
Newton County Health Department
St Louis City Assessor
Branson Police Dept
Kansas City Police Dept
St. Louis County Police Dept
Eastern Clay Ambulance District
Republic R-III School District
Office of the State Auditor



Julie Morff
Director
February 10, 2026



Jessica Harris
Assistant Director
February 10, 2026